

As previously noted, when issuing upgrades and downgrades, analysts anchor on their initial estimates, which can be exploited. If an analyst is anchored to an earnings estimate and earnings are rising, this is an opportunity for investors to win, as it is likely that the analyst is underestimating the magnitude of the earnings upgrades. Conversely, if an analyst is anchored to an earnings estimate and earnings are falling, this is an opportunity to lose, so it's best to sell immediately on the first earnings downgrade, as it is likely that the analyst is underestimating the magnitude of the earnings downgrades.

In sum, we have learned that we need to be aware of the tendency toward anchoring and adjustment bias and the ill effects it can have on our portfolios. At the same time, we can leverage it to our advantage in certain cases, such as in negotiation and in the investment strategy just reviewed.

NOTES

1. Gregory Northcraft and Margaret Neale, "Experts, Amateurs, and Real Estate: An Anchoring-and-Adjustment Perspective on Property Pricing Decisions," *Organizational Behavior and Human Decision Processes* 39 (1987): 84–97.